

prevailing range, you get all the upside of being right without the downside. Once I understood the rules of the game, I became quite cynical about it.”

After graduating from Cambridge in 1992, O’Shea landed a job as a trader for Citigroup. He was profitable every year, and his trading line and responsibilities steadily increased. By the time O’Shea left Citigroup in 2003 to become a portfolio manager for Soros’s Quantum Fund, he was trading an exposure level equivalent to a multibillion-dollar hedge fund. After two successful years at Soros, O’Shea left to become a global macro strategy manager for the multimanager fund at Balyasny, a portfolio that was to be the precursor for his own hedge fund, COMAC, formed two years later.

O’Shea has never had a losing year. The majority of his track record, spanning his years at Citigroup and Soros, is not available for public disclosure, so no precise statements about performance can be made. The only portion of this track record that is available is for the period at Balyasny, which began in December 2004, and his current hedge fund portfolio, which launched in June 2006. For the combined period, as of end of 2011, the average annual compounded net return was 11.3 percent with an annualized volatility of 8.1 percent and a worst monthly loss of 3.7 percent. If your first thought as you read this is “only 11.3 percent,” a digression into performance evaluation is necessary.

Return is a function of both skill (in selecting, implementing, and liquidating trades) and the degree of risk taken. Doubling the risk will double the return. In this light, the true measure of performance is return/risk, not return. This performance evaluation perspective is especially true for global macro, a strategy in which only a fraction of assets under management are typically required to establish and maintain portfolio positions.⁴ Thus, if desired, a global macro manager could increase exposure by many multiples with existing assets under management (i.e., without any borrowing). The choice of exposure will drive the level of both returns and risk. O’Shea has chosen to run his fund at a relatively low risk level. Whether measured by volatility (8.2 percent), worst monthly loss (3.7 percent), or maximum drawdown (10.2 percent), his risk metrics are about half that of the average for global macro managers. If run at an exposure level more in line with the majority of global macro managers, or